

IndiaKart - Management Summary Report

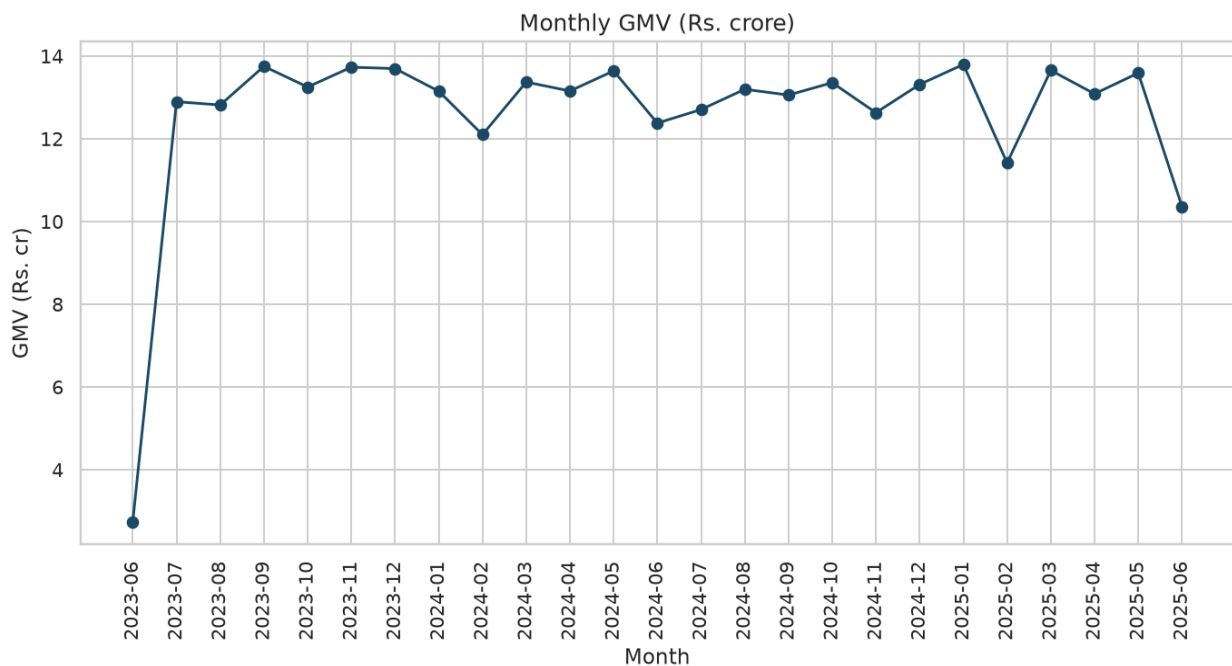
To: Chief Executive Officer, IndiaKart | From: Bhavana, Data Analyst | Period reviewed: 2023-06-24 to 2025-06-23

Executive Summary

Over the 24 months reviewed, IndiaKart processed 50,000 orders worth Rs.314.74 crore in gross merchandise value, of which Rs.205.39 crore was actually delivered and earned. The average delivered order is worth Rs.63,198, which is high for Indian e-commerce and reflects a catalogue weighted towards Electronics. The customer base of 10,000 is loyal, with 88% of customers ordering more than once. However, roughly one rupee in three of gross value never converts: 12.0% of orders are cancelled and returns equal 30.8% of delivered orders, both well above healthy benchmarks. Payment failures of 3.50% and an inventory fill rate of 92.2% add further avoidable leakage. In short: demand is strong and the top line is healthy, but order fulfilment quality is where the next chunk of profit sits.

Business Health Scorecard

Metric	Actual	Target	Status
Gross Merchandise Value	Rs.314.74 crore	-	-
Net Revenue (delivered)	Rs.205.39 crore	-	-
Average Order Value	Rs.63,198	-	-
Cancellation Rate	11.99%	< 10%	Above target
Return Rate	30.77%	< 8%	Above target
Payment Failure Rate	3.50%	< 2%	Above target
Inventory Fill Rate	92.2%	> 95%	Below target
Top Category Share	57.4% (Electronics)	< 60%	Within limit
Repeat Purchase Rate	88.4%	-	Healthy



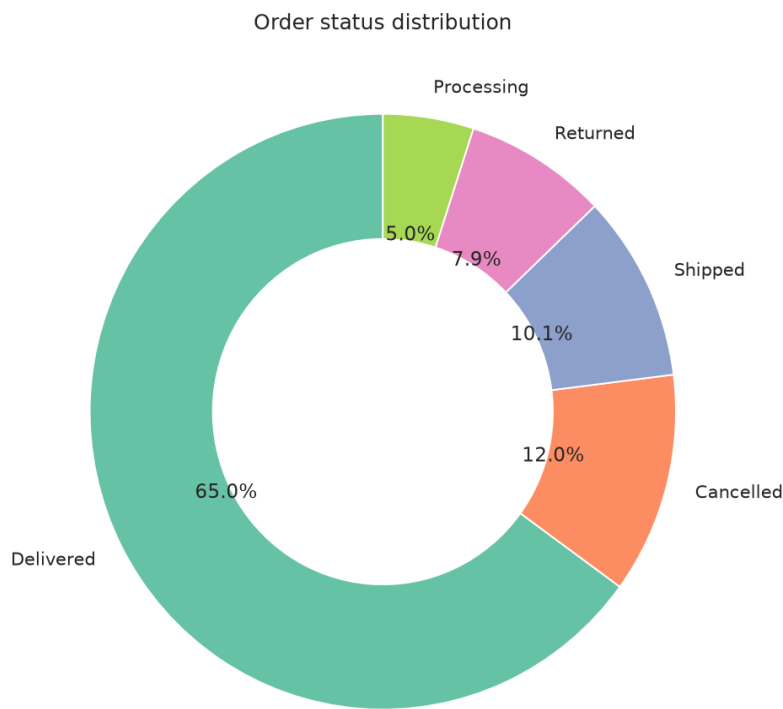
Monthly gross merchandise value, June 2023 to June 2025 (Rs. crore)

Top Three Findings

- 1 One rupee in three is lost between order and delivery. Of Rs.314.74 crore in gross value, only Rs.205.39 crore is delivered. Cancellations at 12.0% and returns at 30.8% of delivered orders are the two biggest leaks in the business.
- 2 Electronics carries the business. It accounts for 57.4% of revenue - just under the 60% concentration-risk line. Growth, and risk, are both tied to one shelf.
- 3 Returns are a catalogue problem, not a courier problem. The most common reason is 'Size Issue', which is driven by sizing charts, photographs and product descriptions rather than by damage in transit.

Risks Identified

- Return rate of 30.8% is roughly four times the 8% benchmark; every return costs shipping both ways plus refund handling.
- Cancellation rate of 12.0% exceeds the 10% target, and Cash on Delivery orders are the most exposed.
- Payment failure rate of 3.50% against a 2% target is direct revenue leakage at the checkout.
- Inventory fill rate of 92.2% sits below the 95% target, with 76 SKUs low and 2 out of stock.
- Revenue concentration in Electronics leaves the business exposed to a single category's pricing and supply cycles.



Order status distribution across all 50,000 orders

Opportunities

- Cutting cancellations to the 10% target would release roughly Rs.6.27 crore of gross value back into delivered revenue.
- Premium customers already average Rs.64,951 per order; a targeted upgrade programme for Regular customers is cheaper than new acquisition.
- The October to November festive window is the clearest demand peak. Stocking and staffing to that curve converts existing traffic into more delivered orders.
- Uttar Pradesh and the other top states account for the bulk of volume, so regional warehousing there would shorten delivery times at low cost.

Recommendations

- 1 Fix the catalogue to fix returns. Start with the categories showing the highest return rates: add standard size charts, three or more real product photographs and verified specifications. Target: bring the return rate below 15% within two quarters, then to 8%.
- 2 De-risk Cash on Delivery. Require OTP confirmation on high-value COD orders and offer a small prepaid discount (1-2%) to shift volume to UPI. Target: cancellation rate under 10% within two quarters.
- 3 Recover failed payments. Add automatic retry on an alternate gateway plus a same-day payment-link follow-up. At the current failure rate this recovers a material share of otherwise lost checkout value.
- 4 Automate reordering. Trigger purchase orders when stock hits the reorder level for the reorder list in the dashboard's Inventory Alert page. Target: fill rate above 95%.

- 5 Diversify beyond Electronics. Fund promotions and supplier onboarding in Fashion and Home & Kitchen to bring the top category's share below 50% over the year.

Basis of this report

All figures are calculated from the eight IndiaKart source tables (222,200 records) using the Python notebooks delivered with this report. The data passed quality checks: no duplicate keys, no orphan foreign keys, and the only blank fields are the expected ones on in-flight orders and pending refunds. Full workings are in Phase1 (cleaning), Phase2 (exploration), Phase3 (KPIs) and the Excel dashboard.